

USNA pitch deck

PITCH — USNA — VERDICT

PROPOSED — PENDING ADJUDICATION — conditional 0.25% starter, blocked today by one unopened document; we hold no shares and no orders.

What we believe

USANA Health Sciences sells nutritional supplements through a network of independent distributors, mostly in Asia, plus two acquired brands: Hiya (children's vitamins, subscription) and Rise (protein bars/snacks). The stock is \$14.37, down 55% from its 52-week high of \$32.29 and 14% above its 52-week low of \$12.61. Market value is about \$265M on 18,476,534 shares.

The company holds \$168.6M of cash and has nothing drawn on its credit line. Strip the cash out and the operating business is being valued at roughly \$97M. Against that, the business still throws off somewhere between \$26M and \$35M a year of cash an owner could actually take (after real capital spending, after the very high cash taxes it pays, and after treating stock compensation as the cost it is). So the operating business trades at roughly 3 to 4 times what it earns for an owner. If you insist on also counting the \$44.7M minority stake in Hiya that the company doesn't own, it's roughly 4 to 5.5 times.

What we believe, precisely: **this is cheap enough that ordinary decline doesn't lose money, and the question that decides the trade is not "is the business shrinking" — it obviously is — but "does the cash belong to shareholders in any practical sense."** Our two benches split on exactly that question and the tiebreaker is a table in a filing that neither bench read in the original.

What we do *not* believe: that this is a turnaround, that the guidance is trustworthy, or that the decline stops. Core customer counts fell 8.1% year over year and 5.0% quarter over quarter, to 384,000. Hiya's subscribers went 200,400 → 181,000 → 186,000 → 166,000. Both of those are real and neither bench disputed them.

What the market believes

The market believes management can't forecast its own business and that the cash is not really available. Both beliefs have evidence.

On May 5, 2026 the company reaffirmed full-year revenue of \$925M–\$1.0B and adjusted earnings of \$1.95–\$2.29 per share. Ninety days later, on August 4, it cut to \$910M and \$0.76, and reported a GAAP loss of \$(0.61) per share and a net loss of \$11M ([Q2 2026 earnings release, SEC](#)). Wall Street was carrying \$945.1M and \$2.12 into that print — analysts were 179% above the company on earnings the day before the company told them. A stock does not recover quickly from that.

The market also sees a company whose profits are earned abroad while the U.S. parent loses money. The first half of 2026 shows a **pretax loss of \$3.4M and an income tax expense of \$17.6M** — the company pays roughly \$35M a year in cash tax on essentially zero consolidated pretax income, because losses in some countries generate no tax benefit while profits in higher-taxed countries keep generating tax. Mainland China alone is 48.4% of sales. The natural conclusion is that the cash pile is in the wrong place and the “cheap on cash” argument is an illusion.

Finally, the market noticed the buyback stopped. The company repurchased \$27.5M of stock in the first half of 2025 at roughly \$30. It repurchased **\$0 in the first half of 2026 at \$14–\$20**, with \$34M of authorization still open. Management is not buying a stock it claims is trading at close to one times its own EBITDA estimate.

Why we might have edge

Three things, in descending order of confidence.

- 1. The “second guidance cut is arithmetically forced” argument — which is the loudest bear argument, and which our own red bench made — is built on a selective calculation.** Red computed the gap between the new full-year guide and the current run rate for Rise and Hiya only. Those two segments are 18% of the guided revenue. Rise printed \$13.7M in Q1 and \$3.4M in Q2, so red concluded the full-year \$35M needs three times the exit rate. But the Q1 spike was a one-time shipment: the company disclosed in February that Q1 included “the launch of Protein Pop at a large club retailer” ([Q4/FY2025 release, Feb 17 2026](#)). A stocking order is not a run rate. Run the same test on Core Nutritional — 82% of the guide, which red never tested — and it produces a \$29M *cushion*, not a hole. Netted out, and adjusted for the normal second-half seasonal decline, the shortfall is roughly \$8M on \$910M of revenue, under 1%. That is guidance noise, not a forced cut. Only the Hiya leg genuinely strains: it needs \$64.6M in the second half against a \$28.3M exit quarter and a falling subscriber count.
- 2. The cash may not be trapped, and the loudest reason to think it is came from a bad search.** Red concluded there was no foreign-cash disclosure because a full-text search for the phrase “held by our foreign subsidiaries” returned nothing across USANA’s filings. The disclosure exists — it’s a table, not that sentence. As of the FY2024 10-K: China \$101.2M, U.S. \$40.1M, other \$40.5M, with an **annual dividend of about \$75.8M remitted from China to the U.S., net of applicable taxes** ([FY2024 10-K, SEC](#)). If that’s right, the cash is China-weighted but demonstrably mobile at a cost that is already inside the tax rate we’re using. That flips the single largest bear pillar.
- 3. The high tax rate is chronic, not new.** The first half of 2025 carried a 44.5% effective rate. We are not discovering a deterioration; we’re paying for a known, priced feature. And the near-zero pretax number this year is distorted by a non-cash goodwill writedown that isn’t tax-deductible — excluding it, first-half pretax income was \$25.7M.

The honest form of the edge is narrow: *we may be better than the market at separating “the business is shrinking” (true, and priced) from “the cash is fake and the guide will be cut again” (probably not true, and also priced).*

Why it might be priced in

Several ways, and we take them seriously.

The stock has already bounced 14% off its low. Whatever the dislocation was on August 4, part of it has been collected by somebody else. We did not run our crowding check (the tool couldn't read outside the working directory), so we cannot say whether this is an undiscovered stub or a well-known value trap that a dozen small-cap value funds already own.

Cheapness on shrinking earnings is the oldest trap there is. At 3–4x, the business could decline 15% a year and the multiple would simply never re-rate — you'd earn nothing while the numerator shrinks. Nothing in the record identifies a mechanism that converts cheapness into a return: no buyback (it stopped), no special dividend announced, and a large founder-family control block that likely forecloses a takeover or activist path — though we did not open the August 13 13G/A to confirm the size of that block, so that's an assumption, not a fact.

And our own house record on this exact setup is bad. Our template of buying stocks that gapped down on an earnings miss is **0 for 7**. The reason is consistent: the headline *is* the news, and the market prices it same-day. There is no obvious reason USNA is the eighth case that breaks the pattern.

What could go wrong

Failure narrative 1 — The Hiya leg breaks and October 21 is a second cut. The one part of the bear arithmetic that survives is Hiya: the second half needs \$64.6M against a \$28.3M exit quarter, while subscribers fell from 200,400 to 166,000 over four quarters. Our consumer-heat check on Hiya reads decaying, at zero. Add rising inventory writedowns (\$3.1M vs \$2.0M) against a \$98M inventory balance, and the \$87M EBITDA guide may not survive even if revenue does. A second cut inside six months would reset the stock to the low teens and destroy what's left of management's credibility. *Monitorable:* yes — Hiya app-review cohort delta, consumer heat re-run, and the Q3 print itself.

Failure narrative 2 — Working capital was the whole story and the cash engine is worse than it looks. First-half operating cash flow of \$33.1M looked like an improvement over \$27.7M. It isn't. This year included a \$9.4M release of inventory; last year included a \$13.0M build — a \$22.4M swing in our favor for reasons that have nothing to do with earnings. Excluding inventory, the comparison is \$23.7M against \$40.7M: **down 42%**. Both benches agreed on this and it is the single most important number in the file. If the remaining \$98M of inventory is stale rather than sellable, the writedowns continue and the release reverses into a charge. *Monitorable:* partly — inventory balance and writedown line each quarter, but only after the fact.

Failure narrative 3 — China. No tripwire exists. Mainland China is 48.4% of sales, holds the profit pool, and holds \$101.2M of the \$168.6M in cash. Direct selling in China operates under a licensing regime that has been abruptly tightened before, without warning, and USANA's local entity is a joint venture structure with a minority partner. A licensing action, a campaign against multi-level marketing, a currency-control change that stops the annual dividend, or a local-partner dispute would simultaneously destroy the earnings, strand the cash, and remove the only path by which shareholders

get paid — all at once, in a single announcement, with no advance signal we can subscribe to. **There is no monitorable tripwire for this.** We have no primary-source Chinese regulatory feed, no local-language filing plane, and no satellite or alternative read that resolves it (the one candidate — thermal imaging of the Beijing/Tianjin facility — measures utilization, not legal standing, and we haven't run it). The unknown-unknown class is **sovereign/regulatory discontinuity in an opaque jurisdiction**: a category where the first observation is the outcome, not a leading indicator. Neither bench named this as its kill until blue raised it at the end; that it went unnamed for most of the court is itself a warning about how the file was framed.

The reflexive and structural leg — how we might cause or compound our own loss.

- *Size versus liquidity is unverified.* We could not get a live quote or an average-volume reading; our broker tools weren't permissioned in this session. On a \$265M market cap with a large family control block, the genuinely tradable float is much smaller than the market cap suggests. A 0.25% position may be several days of volume to exit, and we would be exiting into exactly the conditions that make everyone else want out. **We are proposing a position whose exit cost we have not measured.**
- *We would be bidding into flow we can predict.* A stock down 55% year-to-date is a prime tax-loss-selling candidate in November and December. Our own rule is not to bid into flow we ourselves forecast. If we buy in September at \$14.37 and the tax-loss wave arrives in December, we will have paid up for the privilege of watching mechanical selling take it to \$12. The correct read of that rule here argues for a later, lower entry, and we are flagging that our proposed starter partially violates it.
- *Doctrine interaction — the position may exist because of a rule, not a thesis.* Our house rule says that when an adversarial review produces no named kill, the default is a small starter rather than nothing. Blue leaned on exactly that rule to permit 0.25%. That's a rule designed to stop us from talking ourselves out of good ideas, and here it is doing work that conviction should be doing. **If we own this, we should be honest that a procedural default, not enthusiasm, put it in the book.**
- *Tax-lot interaction.* This is a taxable account. A starter bought now with a strong chance of a 20% drawdown into a January print creates a short-term loss lot — which is not a disaster (it's harvestable) but does mean the position's first job would likely be tax, not return. Any exit needs the short-term/long-term clock checked before it's sized.

If this position loses money, the most likely reason will be that we bought a statistically cheap stub whose profits and cash both sit inside mainland China, and the event that impaired them — a regulatory, licensing, or capital-controls change there — was not observable to us at any point before the price had already moved.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Price is \$13.98 (from the working brief)	Broker tape in the evidence pack	\$14.37; 52-wk range \$12.61–\$32.29; already +14% off the low	No — our own brief was stale. All math redone at \$14.37
Share count 18,463k (used by <i>both</i> benches)	10-Q cover page, quarter ended 2026-07-04	18,476,534 outstanding	No — both benches were slightly wrong. Immaterial (~0.07%) but it means neither read the cover page carefully
Evidence-pack financial data usable for per-share math	Compared pack XBRL rows against the 10-Q	Pack revenue rows are FY2018–19; the other rows are single-quarter snapshots mislabeled as a series	No — the machine-built pack was stale/mis-sliced. Both benches independently caught it and went to the filing. The pack builder needs fixing
“Full-year guide needs 3x the Rise run rate; \$21M hole” (our red bench)	Re-ran the same arithmetic on all segments, not just two	Red tested only 18% of revenue. Core (82%) yields a \$29M cushion by the identical method. Net gap ≈\$8M, under 1% of revenue	No — our red bench committed a selection error. It applied its test only where the test hurt
“Rise Q2 of \$3.4M is the exit run rate”	Read the Q4’25 release, five months older than the finding	Q1 contained a one-time club-retailer launch shipment; management disclosed the cause before we “discovered” the effect	No — red missed a disclosure that was already public
“No foreign-cash disclosure exists in any USNA 10-K”	Blue re-searched; red had searched exactly one boilerplate phrase	The disclosure is a table: China \$101.2M / U.S. \$40.1M / other \$40.5M, plus a \$75.8M annual dividend to the U.S. net of tax	No — red inferred non-disclosure from one failed phrase search. This was red’s load-bearing kill and it inverted
Those China/U.S. cash figures	Blue’s source	Secondary-sourced. The existence of the disclosure is confirmed; the amounts are not verbatim-verified from the filing	Not confirmed — this is the open gate blocking entry
“Management refuses to buy its own stock” graded as confirmed	Re-examined what the fact supports	\$0 repurchased is a fact; <i>why</i> is an inference. The same half-year included a \$14M credit-line paydown and a 48%-swollen inventory balance	No — red graded an inference as a verified fact. Downgraded to plausible; verdicts can’t rest on it
“Zero debt”	10-Q cash-flow statement	\$9.0M drawn and \$23.0M repaid on the credit line during the half; net position is \$0 drawn	Directionally yes; the phrasing was wrong
Operating cash flow “improved” year over year	Decomposed the cash-flow statement	The improvement is entirely a \$22.4M inventory swing. Excluding inventory: \$23.7M vs \$40.7M, down 42%	Yes — this finding survived both benches intact. The most important number in the file
Owner earnings of ~\$40M (blue’s high end)	Rebuilt it	Blue’s bridge adds back depreciation and stock comp in a way that isn’t reconciled	No — our blue bench’s optimistic

Claim	How checked	Found	Confirmed?
		to actual cash flow and understates cash tax. We do not rely on it	number is loosely built. We use \$26M–\$35M and lean toward \$26M
Consumer search interest on the core brand	Ran the detector	Reads <i>rising</i> , 90/100 — directly contradicting an 8.1% decline in paying customers	Detector is unreliable for this business type: on a distributor-recruitment model, search volume measures recruiting campaigns, not demand. We suppressed our own detector rather than use a signal we don't trust in either direction
Hiya consumer trend	Ran the detector	Decaying, 0/100 — consistent with subscribers falling from 200,400 to 166,000	Yes
Hiya customer-review trajectory	Ran the detector	Only one snapshot exists — no trend can be computed	Not checked. Needs a second snapshot before October 21
Fraud-pattern screen for China-exposed small caps	Ran it	Does not fire: 30-year U.S. operating history, national audit firm, no ramp-and-dump features	Yes — and red omitted this screen entirely
Financial-distress risk	Ran it	None: \$168.6M cash, no drawn debt, positive operating cash flow. The bear case is earnings quality and cash location, not survival	Yes
Exit liquidity for a 0.25% position	Attempted	Broker market-data permission not granted in this session	Not checked — flagged as a gap in the entry conditions below
Size of the family control block (13G/A filed Aug 13)	Not opened	Assumed roughly 45% based on prior knowledge	Not checked

PROPOSED ENTRY BANDS

Nothing is bought today. One document gate must clear first.

Gate G1 (blocking, not time-dependent — it can be cleared this week): Open the most recent USANA 10-K and read the cash-by-geography table and the China dividend language *verbatim*. Required to pass: a disclosed U.S./China/other cash split roughly consistent with China ~\$101M / U.S. ~\$40M / other ~\$40M, **and** a stated annual dividend from China to the U.S., net of taxes, that has not stopped. If the table is absent, or the dividend has been suspended or reduced materially, **the answer is no position at any price in these bands** and we drop to the reopen levels below. Note this

honestly: the entire proposal hinges on a filing that exists today and that neither bench read in the original. It should not have been left open.

If G1 passes:

Action	Level / condition	Size	What you're paying
Starter	≤ \$14.50 , and only after a live volume check shows the full intended position is under one day's average volume	0.25% of book	~ 3.7x owner earnings on the conservative \$26M number ; ~ 2.8x on \$35M
Add 1 (price)	≤ \$12.61 (a break of the 52-week low)	+ 0.25%	~ 2.5x on \$26M — the level where a second guidance cut is substantially pre-paid
Add 2 (evidence, not price)	Core customer count prints flat or up sequentially off 384,000 and Hiya subscribers ≥ 166,000, at any price up to \$16.00	+ 0.25%	Blue's explicit condition: no add before stabilization is demonstrated, not forecast
Maximum	—	0.75% of book , hard	Reflects unmeasured exit liquidity and an unhedgeable single-jurisdiction concentration
Trim	\$18.60 (≈5x the mid-case \$35M)	Sell half	This is a melting asset; the multiple is the return, and 5x is a fair multiple for a shrinking distributor
Exit	\$20.50 (≈6x mid-case)	Sell remainder	Above this you are betting on a turnaround nobody has evidenced
Kill, regardless of price	A second full-year guidance cut on the Q3 print, or any adverse Chinese direct-selling licensing action, or the China-to-U.S. dividend disclosed as suspended	Exit all	Each of these breaks a specific pillar we're underwriting, not just the sentiment

If G1 fails — reopen levels (no position): revisit only at ≤**\$11.50** (about 1.7x the conservative owner-earnings number, where trapped cash is fully written off), **or** immediately on disclosure of any open-market repurchase below \$18 under the live \$34M authorization. That single fact would refute the “cash isn’t shareholders” case outright and is worth more than any amount of further modeling.

Catalyst dates. Q3 print expected **2026-10-21 — unconfirmed**; this is derived from a data vendor, not from a company announcement, and it needs verification against the company's investor-relations page before any sizing decision depends on it. That's roughly 39 trading days out, well outside the window where we'd reconstruct a position around a print. The full-year 2026 release should land mid-February 2027 based on the prior year's February 17 pattern — also unconfirmed. The first tranche of the put option held by Hiya's minority owners is dated **2028-04-30**, with the remainder in 2030; both benches agreed this is a hedge rather than a liability, because the strike is set off Hiya's own prior-year earnings, so a shrinking Hiya makes the obligation cheaper.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 11.5 (deck-provisional: Reopen level if the China cash/dividend disclosure fails verification; ~1.7x, trapped cash fully writt)
- filing watch: 8-K until 2027-02-21 (deck-provisional: Second full-year guidance revision, or any Hiya/Rise segment detail before the Q3 print)
- dated pack USNA|2026-10-21: USNA: Q3 2026 earnings print — vendor-derived, not company-announced; decides the Hiya second-half arithmetic (date confirmed=False)
- dated pack USNA|2026-10-14: USNA: Internal deadline: second Hiya customer-review cohort snapshot and consumer-trend re-run, before the print (date confirmed=False)
- dated pack USNA|2027-02-17: USNA: Full-year 2026 release, estimated from the prior-year pattern; first read on FY27 guidance credibility (date confirmed=False)
- dated pack USNA|2028-04-30: USNA: First tranche of the Hiya minority put; strike falls as Hiya shrinks, so it is a hedge not a liability (date confirmed=False)

What remains unverified

1. **The China/U.S. cash split and the annual dividend, verbatim from the filing.**
Secondary-sourced only. This is the entry gate and the single most important open item.
2. **Exit liquidity.** No live quote, no average volume. We are proposing a size we cannot currently justify.
3. **The control block.** The August 13 13G/A was never opened. If the family holds ~45%, no activist or takeover outcome exists, and the only return path is operational or a buyback that has stopped.
4. **Whether this is a crowded value trap.** Our crowding tool never ran. The 14% bounce off the low is suggestive but not diagnostic.
5. **Forward consensus.** No post-cut 2027 estimates exist publicly, so we have no outside anchor to check our own numbers against — we are marking our own homework on valuation.
6. **The Q3 print date.**

7. **Whether the \$98M inventory is sellable.** Writedowns are rising. We assume the balance converts to cash; we have not tested it.
8. **The discount rate used in the goodwill impairment test** — not disclosed. Goodwill and intangibles are \$233.8M, or 88% of the market value. Further writedowns are non-cash and don't touch the cash-adjusted valuation, but they do keep resetting reported earnings and management credibility.
9. **Chinese regulatory standing.** Entirely unverified, and structurally difficult to verify from here.

Bench conviction as filed: red 8/10 on rejecting; blue 7/10 on a gated 0.25% starter, downgraded from higher because of the liquidity and crowding gaps. Blue overturned red's load-bearing finding, so an outright rejection is not earned on this record — but neither bench produced a reason to be enthusiastic, and the position on offer is a small one held for a specific, checkable reason.

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